

Time for action: On the RBI pausing rate cuts

The Reserve Bank of India did well to pause rate cuts **amid** the uncertainties

The Reserve Bank of India's (RBI) Monetary Policy Committee was **sensible** to pause its rate cuts. RBI Governor Sanjay Malhotra rightly **pointed out** that the **uncertainties** surrounding tariffs **are** still **evolving**, and that the 100 bps of rate cuts implemented since February 2025 are still **percolating** through the system. Mr. Malhotra's statement was made before U.S. President Donald Trump approved an additional 25% tariff on imports from India, over and above the **existing** 25% **reciprocal tariffs**. However, his **assessment** that the matter is **far from** over **was nevertheless** accurate. India is still in the process of **negotiating** a **Bilateral** Trade Agreement with the U.S., and the final tariffs are far from decided. **In the meantime**, Mr. Trump has already indicated that similar additional **tariffs** — “penalties” for buying oil from Russia — **may** be **imposed** on other countries as well, which will impact India's comparative advantage. Leaving **room** for another rate cut later in the year when things might be clearer, thus, was the sensible thing to do. The other broad reason why the pause makes sense is that it allows the RBI to see whether such **monetary** measures are working. A 100 bps **cumulative** cut in rates over the last six months is significant, and the banking system needs time to pass that on to borrowers. The Governor also **pointed out** that there is **ample liquidity** in the system, which means the banks have the money to **lend**.

The **question**, however, **is** whether there is enough growth-related borrowing happening. RBI data show that, as of end-June, **loans** to purchase **consumer durables** **had contracted** about 3% compared to the previous year. Growth in housing loans slowed sharply to 9.6% from 36% a year earlier, while vehicle loans too slowed by five percentage points over the last year. **In line with** this **subdued demand outlook**, companies too seem to be slowing their borrowing. Loans to industry grew 5.5% in June 2025, down from 8.1% in June last year. Simply reducing rates, therefore, is not enough and that is something the Governor **alluded to** when he said stronger policy **frameworks** “across **domains**, and not just limited to monetary policy”, would be **pivotal** in achieving India's growth **potential**. The government has to **intervene** in a more focused manner than just increasing capital expenditure **across the board**. A lot can be done through tax. The Goods and Services Tax rate **rationalisation**, that was promised several times, **is** long **overdue**. A **reduction** in fuel prices in line with lower oil prices, too, **will lift** consumer **sentiment**. The RBI can, for the moment, afford to **wait things out**. The government does not have this luxury. [Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where ‘red’ denotes ‘subject’ and ‘blue’ denotes ‘verb’.

Vocabulary

1. **Amid** (preposition) – among, amidst, surrounded by, in the middle of, encircled by के बीच
2. **Sensible** (adjective) – reasonable, rational, wise, logical, prudent समझदार
3. **Point out** (phrasal verb) – indicate, highlight, mention, remark, note इंगित करना
4. **Evolve** (verb) – develop, progress, advance, transform, grow विकसित होना
5. **Percolate** (verb) – filter through, seep, spread, penetrate, trickle फैलना
6. **Existing** (adjective) – current, present, prevailing, ongoing, available वर्तमान
7. **Reciprocal tariff** (noun) – if one country imposes tariffs on another, the other country does the same in return. पारस्परिक शुल्क
8. **Assessment** (noun) – evaluation, analysis, judgment, appraisal, estimation मूल्यांकन
9. **Far from** (phrase) – not at all, far removed from, nowhere near, completely unlike, lacking बिल्कुल नहीं
10. **Nevertheless** (adverb) – however, still, yet, even so, nonetheless फिर भी
11. **Negotiate** (verb) – bargain, discuss, mediate, arrange, settle बातचीत करना / समझौता करना
12. **Bilateral** (adjective) – two-sided, mutual, reciprocal, dual, paired द्विपक्षीय
13. **In the meantime** (phrase) – meanwhile, for now, for the moment, until then, in the interim इस बीच
14. **Impose** (verb) – enforce, levy, inflict, implement, mandate लागू करना
15. **Room** (noun) – space, scope, capacity, leeway, margin अवसर
16. **Monetary** (adjective) – financial, fiscal, economic, pecuniary, capital मौद्रिक
17. **Cumulative** (adjective) – total, collective, combined, aggregate, amassed संचयी
18. **Point out** (phrasal verb) – indicate, highlight, mention, remark, note इंगित करना
19. **Ample** (adjective) – abundant, plentiful, sufficient, adequate, copious पर्याप्त
20. **Liquidity** (noun) – the availability of liquid assets to a market or company.
21. **Lend** (verb) – loan, advance, give, grant, provide उधार देना

22. **Consumer durable** (noun) – manufactured items, typically cars or household appliances, that are expected to have a relatively long useful life after purchase.

उपभोक्ता टिकाऊ वस्तु

23. **Contract** (verb) – shrink, decrease, reduce, diminish, lessen घटाना

24. **In line with** (phrase) – in accordance with, consistent with, matching, fitting, conforming to के अनुरूप

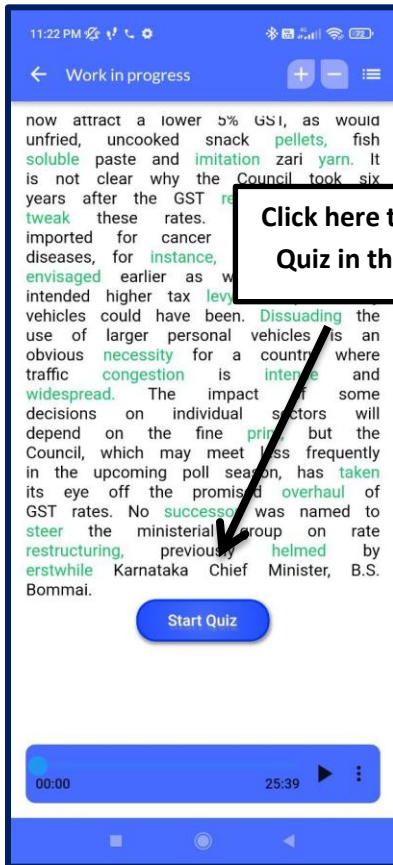
25. **Wait out** (phrasal verb) – wait until a particular, typically unpleasant, event or period is over. इंतजार करना / समय काटना

@mocks_wallah

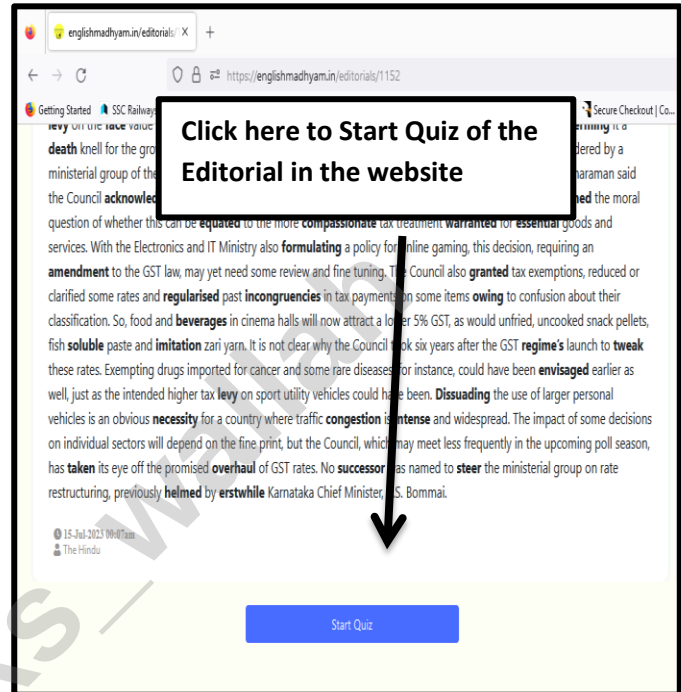
Summary of the Editorial

1. **RBI's decision** – The Reserve Bank of India's Monetary Policy Committee paused further rate cuts in its latest review.
2. **Reason for pause** – RBI Governor Sanjay Malhotra cited evolving uncertainties around tariffs as a key reason.
3. **Recent rate cuts** – The RBI has already implemented a cumulative 100 basis points rate cut since February 2025.
4. **U.S. tariff hike** – Before the RBI announcement, U.S. President Donald Trump imposed an additional 25% tariff on imports from India, on top of the existing 25% reciprocal tariff.
5. **Ongoing trade talks** – India is still negotiating a Bilateral Trade Agreement with the U.S., so final tariff levels are not yet settled.
6. **Possible future tariffs** – Trump has indicated similar penalties for countries, including India, buying oil from Russia, which could hurt India's competitiveness.
7. **Option for later action** – The pause leaves room for another rate cut later in 2025 if the situation becomes clearer.
8. **Need for observation** – The RBI wants to assess whether earlier rate cuts are effectively stimulating lending and economic activity.
9. **Liquidity status** – There is ample liquidity in the banking system, meaning banks have funds to lend.
10. **Weak consumer borrowing** – As of June 2025, loans for consumer durables fell 3% year-on-year.
11. **Housing and vehicle loan slowdown** – Housing loan growth dropped to 9.6% from 36% last year, and vehicle loan growth slowed by 5 percentage points.
12. **Industry borrowing slowdown** – Loans to industry rose only 5.5% in June 2025, compared to 8.1% a year earlier.
13. **Limits of monetary policy** – Simply cutting interest rates is not enough; structural policy measures are also needed to boost growth.
14. **Government's role** – Beyond broad capital expenditure, the government should focus on targeted measures such as GST rate rationalisation and fuel price cuts to boost consumer sentiment.
15. **Different timeframes** – While the RBI can afford to wait and watch, the government needs to act urgently to address economic slowdown concerns.

Practice Exercise: Banking Pattern Based



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